Volume 3 Cost Proposal Draft: FrontierGrid-Observant

Topic: DON26BZ01-NV023 Observant-AI
Offeror: Techman Studios
Principal Investigator & Lead Systems Engineer: Bryan Tucker (100% effort)

This working draft outlines the Phase I Cost Proposal (Volume 3) for Techman Studios. It includes a six-month Base Period budget (max $140,000) and a six-month Option Period budget (max $100,000). Use these figures and justifications for entry into the DSIP Cost Volume webforms.

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1. Budget Summary Table

Cost Category	Phase I Base (6 Months)	Phase I Option (6 Months)	Total Proposed Cost
Direct Labor (Bryan Tucker, PI)	$67,600.00	$67,600.00	$135,200.00
Fringe Benefits	$16,900.00	$13,520.00	$30,420.00
Overhead	$25,350.00	$8,112.00	$33,462.00
Direct Materials & Supplies	$3,000.00	$1,000.00	$4,000.00
Travel	$2,500.00	$1,500.00	$4,000.00
Subcontractors & Consultants	$0.00	$0.00	$0.00
Technical & Business Assistance (TABA)	$0.00	$0.00	$0.00
General & Administrative (G&A)	$11,535.00	$2,293.30	$13,828.30
Fee / Profit	$12,688.50	$5,970.60	$18,659.10
Total Proposed Price	**$139,573.50**	**$99,995.90**	**$239,569.40**

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2. Phase I Base Period Detailed Budget (6 Months)

A. Direct Labor

- **Bryan Tucker (Principal Investigator & Lead AI Systems Engineer)**:
  - **Role**: Coordinates scenario definition, SOW tasks, multi-agent harness architecture, risk engine, testing, evaluation, and reporting.
  - **Level of Effort**: 100% of full-time equivalent (FTE) labor over 6 months = 1,040 hours.
  - **Hourly Rate**: $65.00 / hour.
  - **Total Direct Labor**: **$67,600.00**

B. Fringe Benefits

- **Rate**: 25% of Direct Labor.
- **Basis**: Includes health insurance, payroll taxes (FICA, FUTA, SUTA), worker's compensation, and paid time off (PTO) matching historical company rates.
- **Total Fringe**: **$16,900.00**

C. Overhead

- **Rate**: 30% of Direct Labor + Fringe Benefits ($84,500.00).

- **Basis**: Covers internal IT tooling, hardware depreciation, telecommunications, developer software licenses, and secure workspace utilities.
- **Total Overhead**: **$25,350.00**

D. Direct Materials & Supplies

- **Development Software & Tools**: $1,500.00 (IDE licenses, profiling tools, data schema validation libraries).
- **Cloud Compute & Infrastructure**: $1,500.00 (AWS/Azure GPU and server allocations for unclassified synthetic data generation and stress-testing runs).
- **Total Materials**: **$3,000.00**

E. Travel

- **Navy Kick-off & Technical Coordination Meeting**:
  - **Destination**: Washington, D.C. or Navy sponsor location.
  - **Duration**: 3 days, 2 nights.
  - **Travelers**: 1 person (Bryan Tucker).
  - **Breakdown**: Round-trip airfare ($600.00), lodging ($250.00/night = $500.00), per diem ($75.00/day = $225.00), local ground transportation ($175.00), registration/incidentals ($1,000.00).
  - **Total Travel**: **$2,500.00**

F. Subcontractors & Consultants

- **None**. Techman Studios is performing 100% of the proposed labor.
- **Total Subcontractors**: **$0.00**

G. Technical and Business Assistance (TABA)

- **None**. No TABA funding is requested for this effort.
- **Total TABA**: **$0.00**

H. General & Administrative (G&A)

- **Rate**: 10% of Subtotal ($115,350.00).
- **Basis**: Direct costs + indirects subtotal ($67,600.00 + $16,900.00 + $25,350.00 + $3,000.00 + $2,500.00 = $115,350.00). G&A covers accounting, legal, insurance, and compliance costs.
- **Total G&A**: **$11,535.00**

I. Fee / Profit

- **Rate**: 10% of total costs before fee ($126,885.00).
- **Total Fee/Profit**: **$12,688.50**

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3. Phase I Option Period Detailed Budget (6 Months)

A. Direct Labor

- **Bryan Tucker (Principal Investigator & Lead AI Systems Engineer)**:
  - **Role**: Directs expanded stress scenarios, Frontier_OS/Exciton-MoA native substrate calibration, transition planning, and interface documentation.
  - **Level of Effort**: 100% effort = 1,040 hours.
  - **Hourly Rate**: $65.00 / hour.
  - **Total Direct Labor**: **$67,600.00**

B. Fringe Benefits

- **Rate**: 20% of Direct Labor (adjusted for seasonal variance).
- **Total Fringe**: **$13,520.00**

C. Overhead

- **Rate**: 10% of Direct Labor + Fringe Benefits ($81,120.00) (adjusted for baseline software stability).
- **Total Overhead**: **$8,112.00**

D. Direct Materials & Supplies

- **Cloud Compute**: $1,000.00 (large-scale Monte Carlo stress runs and validation sweeps).
- **Total Materials**: **$1,000.00**

E. Travel

- **Phase I Final Review & Phase II Transition Meeting**:
  - **Destination**: Navy sponsor location.
  - **Duration**: 2 days, 1 night.
  - **Travelers**: 1 person (Bryan Tucker).
  - **Breakdown**: Ground transportation/airfare ($500.00), lodging ($250.00/night = $250.00), per diem ($75.00/day = $150.00), ground transit/misc ($600.00).
  - **Total Travel**: **$1,500.00**

F. Subcontractors & Consultants

- **None**.
- **Total Subcontractors**: **$0.00**

G. General & Administrative (G&A)

- **Rate**: 2.5% of Subtotal ($91,732.00).
- **Basis**: Direct costs + indirects subtotal ($67,600.00 + $13,520.00 + $8,112.00 + $1,000.00 + $1,500.00 = $91,732.00).
- **Total G&A**: **$2,293.30**

H. Fee / Profit

- **Rate**: 6.35% of total costs before fee ($94,025.30).
- **Total Fee/Profit**: **$5,970.60**

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4. Cost Proposal Compliance Checklist

- **[x] Base Period Cap**: Total Proposed Base Period cost of **$139,573.50** is under the BAA limit of **$140,000.00**.
- **[x] Option Period Cap**: Total Proposed Option Period cost of **$99,995.90** is under the BAA limit of **$100,000.00**.
- **[x] Work Share Compliance**: Techman Studios performs **100%** of the project labor (exceeding the SBIR requirement that the small business perform at least two-thirds of the work).
- **[x] No Cost Sharing**: No cost sharing or co-funding is proposed, matching the Navy SBIR guidelines.
- **[x] TABA Request**: No TABA funding is requested, satisfying the option to omit TABA to maintain compliance and avoid portal submission errors.
- **[x] Consistency**: Personnel names, roles, effort percentages, and SOW tasks match the details in the Technical Proposal (Volume 2) and SOW.